In reference to the Indian Government budget, budget deficit is of four major types.

(a) Revenue Deficit

(b) Budget Deficit

(c) Fiscal Deficit, and

(d) Primary Deficit

(A) Revenue Deficit

It refers to the excess of the government revenue expenditure over revenue receipts. It does not consider capital receipts and capital expenditure. Revenue deficit implies that the government is living beyond its means to conduct day-to-day operations.

Revenue Deficit (RD) = Total Revenue Expenditure (RE) - Total Revenue Receipts (RR),

When RE - RR > 0

(B) Budget Deficit

Budget deficit is the difference between total receipts and total expenditure (both revenue and capital)

Budget Deficit = Total Expenditure – Total Revenue

(C) Fiscal Deficit

Fiscal deficit (FD) = Budget deficit + Government's market borrowings and liabilities

(D) Primary Deficit

Primary deficit is equal to fiscal deficit minus interest payments. It shows the real burden of the government and it does not include the interest burden on loans taken in the past. Thus, primary deficit reflects borrowing requirement of the government exclusive of interest payments.

Primary Deficit (PD) = Fiscal deficit (PD) - Interest Payment (IP)

9.12 Federal Finance

Federal finance refers to the system of assigning the source of revenue to the Central as well as State Governments for the efficient discharge of their respective functions i.e. clear-cut division is made regarding the allocation of resources of revenue between the central and state authorities.

- **Division of Powers**: In our Constitution, there is a clear division of powers so that none violates its limits and tries to encroach upon the functions of the other and functions within own sphere of responsibilities. There are **three lists** enumerated in the **Seventh Schedule of constitution.** They are: the Union list, the State list and the Concurrent List.
- The **Union List** consists of 100 subjects of national importance such as Defence, Railways, Post and Telegraph, etc.
- **The State List** consists of 61 subjects of local interest such as Public Health, Police etc.
- The **Concurrent List** has 52 subjects important to both the Union and the State, such as Electricity, Trade Union, Economic and Social Planning, etc.

12-Economics-Chapter_9.indd 197 2/6/2020 11:51:29 AM